
Competition and Consumer Act 2010

Variation to an Undertaking given to the
Australian Competition and Consumer
Commission under section 87B

Given by FOXTEL Management Pty Limited (for and on behalf of the FOXTEL Partnership)

1 Persons giving this Variation

- 1.1 This Variation is given to the Australian Competition and Consumer Commission (ACCC) by:
- (a) FOXTEL Management Pty Limited (ACN 068 671 938) for and on behalf the FOXTEL Partnership (which is the partnership established between Telstra Media and Sky Cable) (FOXTEL).
 - (b) References to FOXTEL in this Variation to the Undertaking refer to the partnership as an Entity and not to Telstra Media and Sky Cable in their individual capacities. References to FOXTEL include the FOXTEL Group.
 - (c) FOXTEL Management Pty Limited has all necessary authorities to act for and on behalf of the FOXTEL Partnership in the giving of this Variation to the Undertaking.

2 Background

- 2.1 On 9 April 2012, the ACCC accepted an undertaking under section 87B of the *Competition and Consumer Act 2010* (the CCA) from FOXTEL in connection with the Proposed Acquisition (the Undertaking).
- 2.2 On 28 June 2013 News separated into two separately traded media groups: Twenty-First Century Fox and News.
- 2.3 FOXTEL has applied to the ACCC to vary the Undertaking with the purpose of permitting FOXTEL to acquire New Distribution Rights to Aggregated Content, EVOD Rights and SVOD Rights on an Exclusive Basis from Twenty-First Century Fox for the FX, FX HD, Baby TV and Fox News channels, which were supplied to FOXTEL by News Corporation at the Commencement Date.

3 Commencement

- 3.1 This Variation comes into effect when:
- (a) this Variation is executed by FOXTEL; and
 - (b) the ACCC accepts this Variation so executed

4 Variation to the definition of Affiliated Content Supplier

- 4.1 Clause 1 of Schedule 1 of the Undertaking is amended by deleting the following words under the definition of Affiliated Content Supplier:
- “
- but excludes the Entity that holds the right to license the New Distribution Rights for the following Linear Channels in the Territory:
- (a) National Geographic channel;
 - (b) National Geo Adventure channel; and
 - (c) Nat Geo Wild channel,

but only in respect of those channels or any successor or replacement channels licensed by that Entity that are substantially similar to those channels."

- 4.2 Clause 1 of Schedule 1 of the Undertaking is amended by inserting the following words at the end of subsection (d)(ii) under the definition of Affiliated Content Supplier:

“; and

(e) Twenty-First Century Fox, but only:

- (i) while News is an Ultimate Shareholder of FOXTEL; and
- (ii) in respect of:
 - (A) the Linear Channels FX and FX HD (and the accompanying EVOD Rights and SVOD Rights);
 - (B) the Linear Channel Baby TV (and the accompanying EVOD Rights and SVOD Rights); and
 - (C) the Linear Channel Fox News,which are produced and supplied by Twenty-First Century Fox to FOXTEL and any successor or replacement channels produced and supplied by Twenty-First Century Fox that are substantially similar to those channels; and
- (iii) subject to any New Distribution Rights to a Linear Channel, EVOD Rights or SVOD Rights, that as at the Variation Commencement Date, Twenty-First Century Fox had granted to any third party in the Territory."

- 4.3 Accordingly, the varied definition of Affiliated Content Supplier in clause 1 of Schedule 1 will read as follows:

Affiliated Content Supplier means:

- (a) an Ultimate Shareholder Entity;
- (b) Related Body Corporate of FOXTEL;
- (c) any other joint venture, association, or Entity in which:
 - (i) FOXTEL; or
 - (ii) an Ultimate Shareholder Entity,has an economic interest that directly or indirectly entitles it to 50% or more of the capital or profits of the joint venture, association or Entity; and
- (d) PMP, but only:
 - (i) in respect of any Linear Channel or Entitlement Video on Demand Service produced and supplied by PMP to FOXTEL as at the Commencement Date; and
 - (ii) if, at the time FOXTEL enters into any Agreement with PMP, that Agreement is not prohibited under clause 6; and

- (e) Twenty-First Century Fox, but only:
 - (i) while News is an Ultimate Shareholder of FOXTEL;
 - (ii) in respect of:
 - (A) the Linear Channels FX and FX HD (and the accompanying EVOD Rights and SVOD Rights);
 - (B) the Linear Channel Baby TV (and the accompanying EVOD Rights and SVOD Rights); and
 - (C) the Linear Channel Fox News,which are produced and supplied by Twenty-First Century Fox to FOXTEL and any successor or replacement channels produced and supplied by Twenty-First Century Fox that are substantially similar to those channels; and
 - (iii) subject to any New Distribution Rights to a Linear Channel, EVOD Rights or SVOD Rights that, as at the Variation Commencement Date, Twenty-First Century Fox had granted to any third party in the Territory.

5 Addition of the definitions of Twenty-First Century Fox and News Separation

- 5.1 Clause 1 of Schedule 1 of the Undertaking is amended by inserting the following definitions:

Twenty-First Century Fox means Twenty-First Century Fox, Inc, a Delaware corporation, and any Related Bodies Corporate of that Entity. At the time of the commencement of the Undertaking Twenty-First Century Fox was known as News. On 28 June 2013, News changed its name to Twenty-First Century Fox.

News Separation means the separation of News into two separately traded media groups, Twenty-First Century Fox and News, which occurred on 28 June 2013.

6 Variation to the definition of News

- 6.1 The definition of News in clause 1 of Schedule 1 of the Undertaking is amended by deleting the words

“means News Corporation, a Delaware corporation”

and inserting the following words:

- (a) prior to the News Separation, means News Corporation, a Delaware corporation which on 28 June 2013 changed its name to Twenty-First Century Fox; and
- (b) on and after the date of the News Separation, means a new entity named News Corporation, a Delaware corporation, that became the holding company for certain assets of the pre-separation News Corporation group including its interests in FOX SPORTS Australia and FOXTEL.

7 Defined terms and interpretation

- 7.1 Any term defined in the Undertaking and not defined in this Variation has the meaning given in the Undertaking, unless the contrary intention appears.
- 7.2 **Variation** means this variation to the Undertaking.
- 7.3 **Variation Commencement Date** has the meaning given in clause 3 of this Variation.

Signed by FOXTEL Management Pty Limited
(ACN 068 671 938) pursuant to section 127(1) of
the Corporations Act 2001 by:



Signature of director



Signature of director/company secretary

RICHARD FREUDENSTEIN

Name of director (print)

LYNETTE IRELAND

Name of director/company secretary (print)

18 July 2013

Date

18 July 2013

Date

Accepted by the Australian Competition and
Consumer Commission pursuant to section 87B
on:

29/7/13

Date

And signed on behalf of the Commission:



Chairman

29/7/13

Date: